Multi-level Marketing and the Pyramid (Hierarchal) Scheme

Definition of Multi-level Marketing:

Multi-level marketing involves individuals selling products directly to the public through direct sales and word of mouth. Distributors earn commissions not only from their own personal sales but also from the sales made by the individuals they recruit into the network. As the layers of participants increase, the early joiners earn greater commissions, which can reach thousands of riyals. This incentivizes distributors to constantly hire new workers to maximize their earnings from team sales, combining personal product sales with network recruitment. Well-known examples of companies utilizing this strategy include Avon, Telecom Plus, and Discovery Toys.

Pyramid schemes:

A pyramid scheme is a business model where members are promised financial returns primarily for enrolling new people into the program, rather than for selling actual products or services.

As recruitment expands, the model quickly becomes mathematically impossible to sustain. Because most members fail to profit, pyramid schemes are unsustainable and frequently illegal.

While they may resemble multi-level marketing, pyramid schemes involve money flowing exclusively upward without any genuine movement or sale of products. Consequently, participants attempt to make money without providing real goods, services, or sustainable effort.

Multi-Level Marketing (MLM) vs. Pyramid Scheme Comparison Chart

Feature	**Multi-Level Marketing (MLM)**	**Pyramid Scheme**
What is it?	A marketing strategy.	A fraudulent investment scheme.
Setup & Core Focus	Focuses on **selling products** or services directly to consumers through a network of independent distributors.	Focuses primarily on **recruiting** new members rather than selling actual products.
Promised Compensation	Participants earn commissions from direct retail sales + by recruiting other agents who also sell the product, and gaining a percentage of the sales made by their recruits.	Participants make money almost exclusively through enrollment/recruitment fees paid by new members joining the chain.
Legality in Law	**Legal**	**Illegal**
Ruling in Islam	**Illegal**	
Product	Functions as a real channel for marketing goods and services to consumers.	Often uses fake, overpriced, or non-existent products/investments simply as a front to disguise a pure recruitment scheme.

The Islamic ruling of MLMs and Pyrimad Schemes:

The Standing Committee for Academic Research and Issuing Fatwas has claimed that the practice of such strategy is forbidden for many reasons. The main reason is that because the drive for this marketing strategy is to earn commission and is not focused on the product itself, that leads to the following forbidden deeds:

1- It involves the practice of usury

2- It is considered gharar. Because it is a deceiving practice of marketing. The more levels there are, the more commission there is.

3- It is considered Taking people's money unjustly. why?

How to make this sale permissible in Islam?

1- No Upfront Costs: Joining the program must be entirely free, with no required subscription fees or mandatory product purchases to participate.
2- Focus on Genuine Product Sales: Earning profits must stem directly from marketing real, fairly-priced products, rather than relying on recruitment fees or commission chains.
3- Direct-Sale Commissions Only: Commissions are paid solely on direct, personal sales rather than earning multi-tiered payouts from downline recruits ("third-party marketers").

Overall, it is suggested that before you start to work for a company or before purchasing a product from a specific company, search thoroughly about its history, how the employees are paid, and the types of products they sell, etc. In conclusion, a person should target to earn the profit from marketing the item, not on marketing the commissions. cautious about the practices of companies that may potentially practice such ungodly strategies of making money.